

GDP slowed down this year. Will next year be better?

The Indian economy is expected to grow at 6.4 per cent in 2024-25 as per the first advance estimates released by the National Statistics Office. **Considering** that the economy grew at 6 per cent in the first half of the year, these estimates **imply** that the **momentum** which had **dipped** in the second quarter — GDP growth had **slumped** to 5.4 per cent — **is** expected to **pick up pace** in the second half of the year, with growth **likely** to average around 6.7 per cent. The NSO's estimate is marginally lower than the RBI's revised **forecast**. In the last **monetary policy committee** meeting, the central bank had lowered its growth estimate for the full year to 6.6 per cent, **pegging** the economy to grow at 6.8 per cent in the third quarter and 7.2 per cent in the fourth quarter. However, this latest estimate also implies that **growth** this year **is** likely to be 1.8 percentage points lower than the 8.2 per cent **registered** last year.

The **disaggregated data** shows that the main **drag** to growth comes from the industrial sector, manufacturing **in particular**. The sector is **pegged** to grow at just 5.3 per cent this year, down from 9.9 per cent last year. Slower growth is also expected in construction and the electricity, gas and water supply segments. The services sector is also likely to **witness** a **deceleration**. On the other hand, private consumption is **projected** to **accelerate**. This is **at odds with** what is being said so far by sections of India Inc who have voiced concerns about spending, especially in urban areas. In rural areas, however, household consumption is likely to get a boost from healthy kharif production, and the **prospects** for the rabi crop are also **promising**. Investment activity, though, has **moderated**. Private investment remains **subdued**, and central government **capital expenditure**, which has been a big **driver**, **is** actually 12 per cent lower than last year. In fact, there is the possibility of the Centre's **capex undershooting** its budgeted target.

The first advance estimates are based only on data for seven to eight months of the year. Thus, a more **precise picture** of the economy **will** only emerge in the months ahead when more data is available. However, as per these advance estimates, **nominal GDP** growth is likely to be 9.7 per cent this year. This is lower than the Union budget's estimate of 10.5 per cent. It also implies that this will be the second **straight** year when nominal GDP growth will be less than 10 per cent. This will have **implications** for the government's **debt-deficit dynamics**. The question, now, is: Considering the global and domestic **uncertainties**, what will be the upcoming budget's figure for growth in the next year?

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

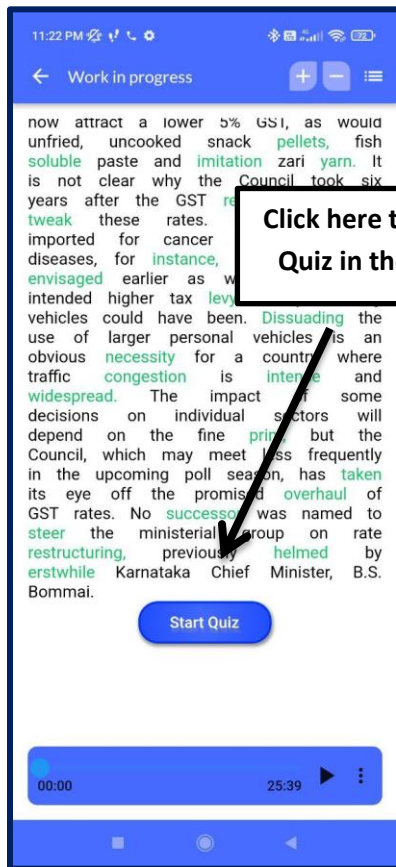
1. **Considering** (preposition) – Taking into account, bearing in mind, keeping in view
के मद्देनज़र
2. **Imply** (verb) – Suggest, indicate, hint, mean संकेत करना
3. **Momentum** (noun) – Drive, impetus, energy, force गति
4. **Dip** (verb) – Decrease, fall, drop, decline गिरावट आना
5. **Slump** (verb) – Plunge, drop, collapse, fall sharply गिरना
6. **Pick up** (phrasal verb) – Improve, increase, recover, bounce back सुधार होना
7. **Pace** (noun) – Speed, rate, tempo, velocity गति
8. **Likely** (adjective) – Probable, expected, possible, plausible संभावित
9. **Forecast** (noun) – Prediction, projection, outlook, estimate पूर्वानुमान
10. **Monetary policy committee** (noun) – The group responsible for formulating a country's monetary policy, such as interest rates and money supply मौद्रिक नीति समिति
11. **Peg** (verb) – Fix, set, establish, place स्थिर करना/निर्धारित करना
12. **Register** (verb) – Record, achieve, show, log दर्ज करना
13. **Disaggregated data** (noun) – Data broken down into detailed sub-categories, separated information पृथक आंकड़े
14. **Drag** (noun) – Hindrance, restraint, pull-back, slowdown बाधा
15. **In particular** (phrase) – Specifically, especially, notably, particularly विशेष रूप से
16. **Witness** (verb) – Observe, see, experience, record देखना/अनुभव करना
17. **Deceleration** (noun) – Slowing, reduction in speed, slowdown, retardation मंदी
18. **Project** (verb) – Predict, estimate, forecast, plan अनुमान लगाना
19. **Accelerate** (verb) – Speed up, quicken, hasten, increase गति बढ़ाना
20. **At odds with** (phrase) – In conflict with, inconsistent with, in disagreement with विरोधाभासी होना
21. **Prospect** (noun) – Outlook, possibility, potential, expectation संभावना
22. **Promising** (adjective) – Hopeful, encouraging, positive, favorable आशाजनक
23. **Moderate** (verb) – Lessen, reduce, curb, restrain कम होना

24. **Subdued** (adjective) – Low, restrained, muted, diminished कमजोर
25. **Capital expenditure** (noun) – Spending on assets/infrastructure, investments, development expenses पूंजीगत व्यय
26. **Driver** (noun) – Motivator, catalyst, factor, impetus प्रेरक
27. **Capex** (noun) – Capital expenditure, investment in assets/infrastructure पूंजीगत व्यय
28. **Undershoot** (verb) – Fall short, miss, fail to reach, be lower than कम रह जाना
29. **Precise** (adjective) – Exact, accurate, specific, correct सटीक
30. **Nominal GDP** (noun) – The GDP measured at current market prices (without inflation adjustment) सांकेतिक जीडीपी
31. **Real GDP** (noun) – The GDP adjusted for inflation, indicating actual production वृद्धि समायोजित जीडीपी
32. **Straight** (adjective) – Consecutive, successive, continuous, sequential लगातार
33. **Implication** (noun) – Consequence, effect, result, outcome प्रभाव
34. **Debt-deficit dynamics** (noun) – The interplay between government borrowings and budget shortfalls ऋण-घाटे की परस्पर क्रिया
35. **Uncertainty** (noun) – Doubt, unpredictability, ambiguity, hesitancy अनिश्चितता

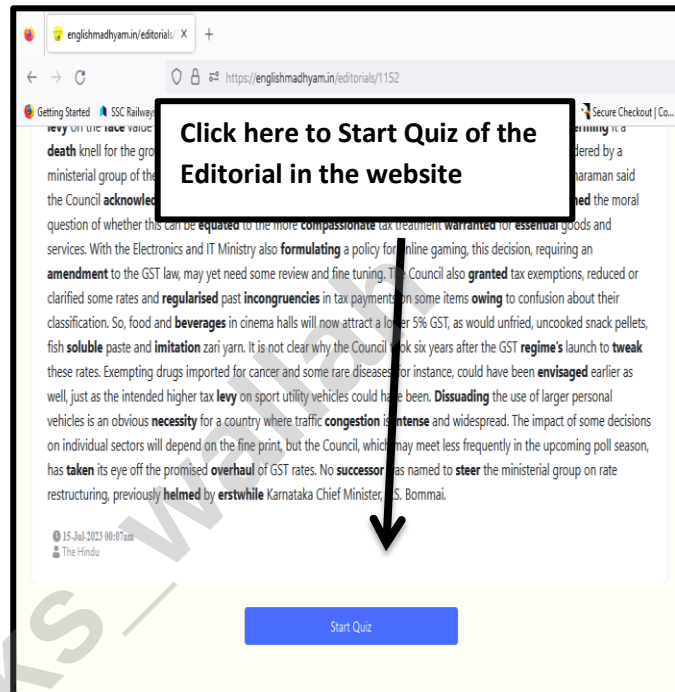
Summary of the Editorial

1. **2024-25 Growth Projection:** The Indian economy is expected to grow at 6.4% in 2024-25 as per the National Statistics Office (NSO).
2. **Slowed Momentum:** GDP growth has slowed compared to last year's 8.2%, with this year's projected growth being 1.8 percentage points lower.
3. **Recovery in Second Half:** Despite a dip to 5.4% in the second quarter, growth is anticipated to average 6.7% in the second half, signaling recovery.
4. **Manufacturing Weakness:** A key drag is the industrial sector, particularly manufacturing, which is expected to grow at just 5.3%, down from 9.9% last year.
5. **Sluggish Infrastructure:** Slower growth is also seen in construction and utilities (electricity, gas, and water supply).
6. **Deceleration in Services:** The services sector, a critical growth driver, is also projected to decelerate.
7. **Private Consumption Divergence:** Private consumption is expected to rise, contradicting concerns raised by businesses about weak urban demand.
8. **Rural Resilience:** Rural consumption is likely to improve due to strong kharif production and promising rabi crop prospects.
9. **Investment Moderation:** Investment activity has slowed, with subdued private investment and central government capital expenditure 12% lower than last year.
10. **Capex Concerns:** There's a risk of the Centre's capital expenditure undershooting its budgeted target, which could hinder growth support.
11. **Nominal GDP Below Expectations:** Nominal GDP growth is estimated at 9.7%, below the Union Budget's projection of 10.5%, marking the second consecutive year below 10%.
12. **Debt-Deficit Implications:** Lower nominal GDP growth affects government debt and deficit dynamics, potentially pressuring fiscal management.
13. **Global and Domestic Uncertainties:** Challenges such as global economic volatility, high interest rates, and domestic demand constraints add to growth uncertainty.
14. **Upcoming Budget's Growth Target:** The upcoming Union Budget must account for these factors to set realistic growth targets and address structural challenges.
15. **Outlook for Next Year:** While rural consumption and agricultural production may support growth, a stronger recovery will require addressing investment bottlenecks and boosting industrial and services sector performance.

Practice Exercise: Banking Pattern Based



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